EXECUTIVE DECK

JLR: The Business Case for Cyber Resilience

If a cyber attack will eventually get through, where should a car maker spend its next pound to limit the damage?

Independent analysis using public information only. Not affiliated with or endorsed by JLR or Tata Motors. Model inputs are illustrative.

THE ANSWER IN BRIEF

Prepare to recover quickly, and spend in stages

74%

Most of the damage came from the length of the shutdown.

About three-quarters of the production lost because of the attack came from the five weeks when the factories were stopped, not from the break-in itself.

3.45

Focusing on fast recovery scores well.

We scored four options out of 5. Fast recovery scored 3.45, insurance 3.10 and prevention 2.65. A mix of all three scored 3.65, but only narrowly.

£18m

Start small, then check the results before spending more.

We recommend approving only the first two phases, which cost about £18m. The next £40m should be released only if practice runs show that enough production time would be saved.

Source: JLR Annual Report 2025/26. Costs and probabilities are illustrative estimates.

WHAT HAPPENED

The attack stopped production for five weeks

The factories were stopped for 38 days.
This ran from late August to 8 October 2025.

Production then restarted in stages.
It was back to normal by mid-November.

How production restarted

JLR first restored the systems that face customers, then the systems for shipping cars and parts. In the factories, engine and battery production restarted first.

Financial support was arranged

The UK government backed a £1.5bn loan facility, which JLR had not drawn on by March 2026. JLR also let suppliers claim early payment of up to £500m, but only £37m was used.

There was no cyber insurance

JLR was still arranging a cyber insurance policy when the attack came. As a result, none of the £260m of extra costs was paid back by an insurer.

Sources: JLR Annual Report 2025/26; Automotive World; Insurance Business UK (September 2026).

WHAT IT COST, YEAR TO MARCH 2026

JLR’s profit almost disappeared

£22.9bn

Sales

Sales fell from £29.0bn the year before, a drop of 20.9%.

£14m

Profit before tax

This excludes one-off costs. It was £2.5bn the year before.

£2.6bn

Net debt

This is borrowing minus cash. A year earlier JLR held £278m more cash than debt.

£260m

One-off cyber cost

This is the extra cost of responding to the attack, separate from the sales lost.

Not all of the fall is due to the attack. US import tariffs and the planned end of older Jaguar models were already reducing sales. The next page separates these effects.

Source: JLR Annual Report 2025/26.

WHERE THE LOSS CAME FROM

The length of the stop caused most of the loss

Sales fell by £6.1bn in the year to March 2026, and we split that fall into two parts.

About £2.6bn was already under way.	Up to about £3.5bn is linked to the attack.

The first part comes from US import tariffs and the planned end of older Jaguar models. If sales were already falling faster than we assumed, the attack share would be nearer £1.9bn.

We then split the attack-related loss into the full stop and the slow restart.

About 74% came from the full stop.	About 26% came from the slow restart.

The full stop lost about 5.4 weeks of normal output, worth about £2.6bn of sales. The slow restart that followed lost about 1.9 more weeks, worth about £0.9bn.

One week of normal output is worth about £0.5bn of sales. This is why recovering faster is where the money is. A shutdown is also more than an IT problem, so the plan must cover the restart order, cash for suppliers and shipping.

Source: our own calculation from totals in JLR's Annual Report 2025/26. The true share from the full stop could be anywhere from 61% to 86%.

THE OPTIONS

We scored four options, and one led narrowly

Option	What the company would spend on	Score out of 5
A. Prevention first	Stopping attackers from getting in, through access controls, network separation and monitoring.	2.65
B. Recovery first	Assuming attackers will get in, and restoring systems quickly through clean rebuilds and practice runs.	3.45
C. Insurance and financing	Insurance, early payments to suppliers and agreed bank credit to absorb the cost of an attack.	3.10
D. Recovery plus extras	Option B, with some targeted prevention and an insurance policy added as a backup.	3.65

Option D scored highest in five of the six weighting tests we ran. It leads option B by only 0.20 points, and insurance would win if the board gave low cost more than about 38% of the weight.

Source: our own options analysis. The scores and weights are our judgement, not measurements.

WHAT THE NUMBERS SAY

In the central case, no option pays for itself

Expected net benefit over three years, in £ million. A negative number means a net cost.

Option	Central case	Higher-risk case
A. Prevention first	−100	−5
B. Recovery first	−39	+72
C. Insurance	−22	0
D. Recovery plus extras	−69	+75

The higher-risk case assumes a 30% chance of an attack, three weeks of production saved and a 25% profit margin.

Option B would break even if any one of these three things were true.

34% The chance of a JLR-sized attack within three years is 34%, not the 15% we assumed.

3.9 The plan saves 3.9 weeks of production in an attack, not the 2 weeks we assumed.

£41m The plan costs £41m over three years, not the £80m we assumed.

Source: our own financial model. Costs, probabilities and savings are placeholders. JLR facts are from its Annual Report 2025/26 and Insurance Business UK.

THE TARGET DESIGN

Restoring in order of value could save 14 days

At JLR, normal output returned about 76 days after the attack began.

The factories stopped for 38 days.	The staged restart took about 38 more days.

Our design aims for normal output about 62 days after an attack, which is 14 days sooner.

The stop is cut to 24 days.	The restart still takes about 38 days.

We sort systems into four tiers and restore them in this order.

Tier 0

The tools used to rebuild everything else, such as clean backups, come back first, on day 1.

Tier 1

The systems for shipping cars and getting paid come back next, by day 7.

Tier 2

The systems that run the production lines come back after that, with the first cars built on day 24.

Tier 3

All other systems are restored last, once production is running again.

Source: JLR Annual Report 2025/26. The design targets are our own assumptions, not JLR plans.

THE PLAN

Four phases, and each checkpoint releases the next money

Months 0 to 1.5

Phase 0: Decide and measure

£3m

Name owners, rank systems and test today's recovery times.

Months 1.5 to 6

Phase 1: Build foundations

£15m

Build a protected recovery area and manual workarounds.

Months 6 to 18

Phase 2: Build and prove

£40m

Rehearse a full rebuild at two main plants.

Months 18 to 36

Phase 3: Roll out and maintain

£22m

Extend the design to all plants and rehearse every year.

Before each later phase is paid for, practice runs must show enough saved production time. These figures assume a 20% chance of an attack.

Checkpoint	It approves	Total spend so far	Weeks saved needed
Gate 0	Phase 1	£18m	0.9
Gate 1	Phase 2	£58m	2.9
Gate 2	Phase 3	£80m	3.9

Costs are illustrative. The weeks needed equal the total spend divided by the profit lost per week of stoppage (£101.5m), then by the 20% chance of an attack.

THE DECISION

Approve £18m now and let the checkpoints decide the rest

What the board is asked to do

- Approve Phases 0 and 1, which cost £18m in total.
- Set its own view of the chance of another long outage at the first checkpoint.
- Collect insurance quotes, and treat buying cover as a choice about how much risk it will carry.

The risks that matter most

- An attacker could still get in and stop production, so this risk stays at 12 on our 1-to-25 scale.
- Attackers might reach the backups, so the backups must sit in a separate, isolated recovery area.
- The assumed time savings might be wrong, so the checkpoints stop spending if rehearsals do not prove them.

What would change this advice

- If the board gave low cost more than about 38% of the weight, insurance would come out ahead.
- If practice runs save less than about one week of production, the plan should be re-scoped.
- If delays come mostly from suppliers or shipping rather than IT systems, spending should move to those areas.

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